

89	Relief when salary, etc., is paid in arrears or in advance	157
90	Agreement with foreign countries or specified territories	159
90A	Adoption by Central Government of agreement between specified associations for double taxation relief	159
91	Countries with which no agreement exists	160

2. Revised Provisions Relating to Allowances

Particular	Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Changes
Children Education Allowance	₹100 per month per child (Max 2 Child)	₹3,000 per month per child (Max 2 Child)	Increased by ₹2900 per Child per month
Hostel Expenditure Allowance	₹300 per month per child(Max 2 Child)	₹9,000 per month per child(Max 2 Child)	Increased by ₹8700 per Child per month
Free Food and Non-Alcoholic beverages	₹50 per meal	₹200 per meal	Increased by ₹ 150 per Meal
Employer Gifts / Vouchers	₹5,000 per annum	₹15,000 per annum	Increased By ₹ 10,000
Transport System Allowance	Exempt up to 70% of allowance, capped at ₹10,000 per month.	Exempt up to 70% of allowance, capped at ₹25,000 per month.	Capping Limit increased by ₹ 15000 per month
Interest-Free Employer Loan Threshold	Exempt if the aggregate loan amount is ₹20,000	Exempt if the aggregate loan amount is ₹2,00,000	Limit Increased by ₹ 1,50,000
Free/Concessional Education for Employee's Children	Tax-free up to ₹1,000 per month per child	Tax-free up to ₹3,000 per month per child	Increased by ₹2,000 per month per child
Transport allowance granted to blind or deaf and dumb or orthopaedically handicapped	Tax-free up to ₹3,200 per month	Metro cities: ₹15,000 + DA per month Other cities: ₹8,000 + DA per month	Substantially increased and city-based differentiation introduced



Particular	Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Changes

3. Valuation of Motor Car Perquisite

If car owned by Employer and used by Employee for office and personal Purposes and expenses born by Employer	Income Tax Rule 1962 (Under Act, 1961) – Rule 3	Income Tax Rule 2026 Rule 15
Engine $\leq$ 1600 cc or Electric Vehicle	₹1,800/month	₹5,000/month
Engine > 1600 cc	₹2,400/month	₹7,000/month
Chauffeur Facility	₹900/month	₹3,000/month

If car owned by Employer and used by Employee for office and personal Purposes and expenses born by Employee	Income Tax Rule 1962 (Under Act, 1961) – Rule 3	Income Tax Rule 2026 Rule 15
Engine $\leq$ 1600 cc or Electric Vehicle	₹600/month	₹2,000/month
Engine > 1600 cc	₹900/month	₹3,000/month
Chauffeur Facility	₹900/month	₹3,000/month

If car owned by Employee and used by Employee for office and personal Purposes and expenses born by Employer	Income Tax Rule 1962 (Under Act, 1961) – Rule 3	Income Tax Rule 2026 Rule 15
Engine $\leq$ 1600 cc or Electric Vehicle	₹1,800/month	₹5,000/month
Engine > 1600 cc	₹2,400/month	₹7,000/month
Chauffeur Facility	₹900/month	₹3,000/month



4. House Rent Allowance Exemption

Particular	Income Tax Rule 1962 (Under Act, 1961) – Rule 2A	Income Tax Rule 2026 - Rule 279
Existing Metro Cities	50% of Salary	50% (No change)
Bengaluru, Pune, Hyderabad, Ahmedabad	40%	50% (increased by 10%)
Other Cities	40%	40%

5. Leave Travel Concession

Particular	Income Tax Rules, 1962	Income Tax Rules, 2026
Air travel valuation	Restricted to economy fare of National Carrier	Based on entitled class of travel
Reference system	National Carrier benchmark	Employee eligibility-based fare
Non-rail connectivity	AC first-class rail fare concept	Standard rate of ₹30/km

6. Changes in Forms

Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Instrument	Remarks
Form 16	Form 130	TDS Certificate for Salary and Pension	Introduced in three parts; includes additional annexure for specified senior citizens; reflects updated perquisite and allowance values; to be issued by 15 June following the Tax Year
Form 12BB	Form 124	Employee Exemption and	Mandatory disclosure of landlord PAN where annual rent exceeds ₹1,00,000; requirement to disclose



Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Instrument	Remarks
		Deduction Declaration	relationship with landlord; Rent Agreement is Mandatory for HRA,

B) TDS / TCS Framework — Old vs New

1. Summarized Table

TDS / TCS Category	Old Act Provisions	New Act, 2025	Relevant Rule / Form
TDS on Salary	Section 192; Section 192A (EPF withdrawals)	Section 392 (consolidated provision)	Rule 219; Form 138 (earlier Form 24Q)
TDS on Non-Salary Payments — Residents	Multiple sections (e.g., 193, 194, 194A, 194C, 194H, 194I, 194J, 194Q, 194R, 194S, etc.)	Section 393(1) — unified provision with table-based classification	Rule 219; Form 140 (earlier Form 26Q)
TDS on Payments to Non-Residents	Sections 195, 196A, 196C, 196D, 194E, 194LB, 194LC, 194LD	Section 393(2) — comprehensive table for non-resident taxation	Rule 219; Form 144 (earlier Form 27Q)
TCS Provisions	Section 206C and its sub-sections [e.g., 206C(1), 206C(1F), 206C(1G), 206C(1H), etc.]	Section 394 — single consolidated provision with tabular structure	Rule 218; Form 143 (earlier Form 27EQ)



Section of 2023 Act		Section of 1961 Act	Rate of payment	TDS in % ²⁰	ld limit of Rs.
Section	Table SL No.				

TDS / TCS Category	Old Act Provisions	New Act, 2025	Relevant Rule / Form
Lower / Nil Deduction Certificate	Section 197 — applicable to specified sections only	Section 395(1) — scope expanded to cover all specified payments	Rule 213
Higher TDS/TCS for Non-Filers	Sections 206AB / 206CCA — applicable for non-filers of return	Abolished under the new Act	Not Applicable

2. Section 393 — Framework of TDS Provisions (Structured Summary of Five Tables)

Section 393 provides a comprehensive framework for tax deduction at source (TDS) through five distinct tables. These tables classify TDS provisions based on the nature of payment and the residential status of the recipient, thereby ensuring a systematic application of withholding tax provisions.

TDS Structure under Section 393

Table No.	Category of Payments	Scope / Applicability	Payment Nature
Table 1	Payments to Residents	Applies to payments made to resident persons	Covers specified payments such as: • Commission or brokerage • Rent • Transfer of certain immovable property (excluding agricultural land) • Income from capital market transactions • Interest income • Payments to contractors, professionals, and technical service providers • Dividend • Other prescribed payments
Table 2	Payments to non-residents	Applies to payments made to non-resident	Includes interest, dividends, capital gains, income from securities, units, bonds, business trusts, investment



Table No.	Category of Payments	Scope / Applicability	Payment Nature
		persons and foreign companies	funds, offshore funds, as well as payments to sportsmen, entertainers, and other sums chargeable under the Act. Rates of deduction: 4%, 5%, 6%, 10%, 12.5%, 20%, or such rates as prescribed ("rates in force"). DTAA relief may be claimed subject to furnishing a valid Tax Residency Certificate (TRC) and prescribed declarations.
Table 3	Payments to Any Person	Applies irrespective of residential status	Covers specified high-risk or regulated transactions, including winnings from lotteries, betting, gambling, horse races, online gaming; lottery commission; large cash withdrawals; specified cash payments; and payments to partners of firms.
Table 4	Cases where No TDS is Required	Statutory exclusions from TDS	Prescribes payments on which no tax is required to be deducted, including payments to Government, RBI, banks, insurers, notified institutions, and business trusts, as well as certain specified transactions subject to prescribed conditions.
Table 5	Declaration for Non-Deduction	Applies where a declaration of nil or lower estimated income is furnished by the recipient	Permits non-deduction of tax on specified incomes such as interest, rent, dividend, insurance commission, mutual fund income, and life insurance proceeds, subject to eligibility conditions, compliance requirements, and reporting obligations.

3. TCS Rate -Section 394(1)



Section 394(1) Table Sl.No	Nature of Receipt	New Rate	Old Section	Old Rate
1	Sale of alcoholic liquor for human consumption	2%	206C(1)	1%
2	Sale of tendu leaves	2%	206C(1)	5%
3	Sale of timber and other forest produce	2%	206C(1)	2%
4	Sale of scrap	2%	206C(1)	1%
5	Sale of minerals such as coal, lignite, and iron ore	2%	206C(1)	1%
6(a)	Sale of motor vehicle where consideration exceeds ₹10,00,000	1%	206C(1F)	1%
6(b)	Sale of specified luxury goods where consideration exceeds ₹10,00,000 (including wristwatches, antiques, paintings, sculptures, collectible items such as coins and stamps, yachts/rowing boats, sunglasses, handbags/purses, footwear, sportswear and equipment)	1%	206C(1F)	1%
7(a)	Remittance under Liberalised Remittance Scheme (LRS) for specified purposes such as travel, investments, etc., where aggregate amount exceeds ₹10,00,000	20%	206C(1G)(a)	20%
7(b)	Remittance under LRS for education or medical treatment where aggregate amount exceeds ₹10,00,000	2%	206C(1G)(a)	5%
7(c)	Remittance under LRS for education, where the amount is financed through a loan obtained from a financial institution	Nil	206C(1G)(a)	
8	Overseas tour programme package, including expenditure on travel, accommodation, boarding, or lodging	2%	206C(1G)(b)	5%/20%



Section 394(1) Table Sl.No	Nature of Receipt	New Rate	Old Section	Old Rate
9	Use of parking lot, toll plaza, or mining rights under lease or licence	2%	206C(1C)	2%

4. TDS Section Mapping

Category A - When recipient is a person resident in India

New Provision		Old Section	Nature of Payment / Income	Rate	Threshold Limit
392	—	192	Tax deduction from salary, allowances or perquisites		At Slab Rate
392(7)	—	192A	Payment of taxable accumulated provident fund balance	10	50,000
393(1)	1(i)	194D	Insurance commission - If recipient is a resident (other than a company) - If recipient is a domestic company	2 10	20,000 20,000
393(1)	1(ii)	194H	Commission or brokerage	2	20,000
393(1)	2(i)	194-IB	Payment/credit of rent by an individual/HUF (if his total sales, turnover or gross receipts does not exceed Rs. 1 crore in the case of business or Rs. 50 lakh in the case of profession in the preceding financial year)	2	50,000 p.m.
393(1)	2(ii)	194-I	Any income by way of rent - Rent of plant and machinery - Rent of land or building or furniture or fitting	2 10	50,000 p.m.
393(1)	3(i)	194-IA	Payment/credit of consideration to a resident transferor for transfer of any immovable property (other than rural agricultural land) (1 per cent of consideration or stamp duty value, whichever is higher)	1	More than 50,00,000
393(1)	3(ii)	194-IC	Payment of consideration (not being in kind)	10	Zero



			under a joint development agreement to a resident individual/HUF (who transfers land/building)		
393(1)	3(iii)	194LA	Payment of compensation/enhanced compensation for compulsory acquisition of immovable Property	10	5,00,000
393(1)	4(i)	194K	Any income in respect of units of a mutual fund/units from administrator of the specified undertaking/units from specified company	10	10,000
393(1)	4(ii)	194LBA(1)	Payment of the nature referred to in Schedule V	10	Zero
393(1)	4(iii)	194LBB	Payment in respect of units of investment fund specified in section 224 (corresponding to sec. 115UB of the 1961 Act)	10	Zero
393(1)	4(iv)	194LBC(1)	Payment in respect of an investment in a securitisation trust specified in section 221(6) (d) [corresponding to Expln. (d) to sec. 115TCA] if recipient is an individual or HUF or any other person	10	Zero
393(1)	5(i)	193	Interest on securities	10	10,000
393(1)	5(ii)/(iii)	194A	Payment of interest (other than interest on securities)		
			- Paid/payable by a bank/co-operative bank/post office to a senior citizen	10	1,00,000
			- Paid/payable by a bank/co-operative bank/post office to a person other than a senior citizen	10	50,000
			- Paid/payable by any other person	10	10,000
393(1)	6(i)	194C	Payment to contractors		
			- Payment/credit to an individual or a Hindu undivided family	1	30,000/ 1,00,000
			- Payment/credit to any person other than an individual or a Hindu undivided family	2	30,000/ 1,00,000
393(1)	6(ii)	194M	Payment/credit to a resident contractor or resident professional or payment/credit by way of commission/brokerage	2	50,00,000



393(1)	6(iii)	194J	Fees for professional or technical services –		
			- Fees for professional services (if payee is engaged only in the business of operation of a call centre)	2	50,000
			- Fees for professional services (not covered above)	10	
			- Fees for technical services (not being a professional service)		50,000
			- Remuneration/fee/commission by a company to a director (when director is not an employee,	2	Zero
				10	
			- Royalty in the nature of consideration for sale, distribution or exhibition of cinematographic films	2	50,000
			- Royalty (not covered above)		
			- Any sum referred to in section 26(2)(h) [corresponding to sec. 28(va) of the 1961 Act]	10	50,000
				10	
393(1)	7	194	Dividends (including deemed dividend) (threshold limit: Rs. 10,000 if shareholder is an individual)	10	Nil
393(1)	8(i)	194DA	Amount of income comprised in payment in respect of life insurance policy	2	1,00,000
393(1)	8(ii)	194Q	Payment/credit (exceeding Rs. 50 lakh in the financial year) of a certain sum for the purchase of goods	0.1	50,00,000
393(1)	8(iv)	194R	Benefit or perquisite in respect of business/Profession	10	20,000
393(1)	8(v)	194-O	Payment of certain sums (i.e., sale of goods/provision of services) by e-commerce operator to e-commerce participants —		
			- If e-commerce participant is an individual/HUF	0.1	5,00,000
			- If e-commerce participant is a person other than an individual/HUF	0.1	Zero
393(1)	8(vi)	194S	Payment/credit of consideration for transfer of virtual digital asset—		



			- If consideration is paid/payable by a specified person	1	50,000
			- If consideration is paid/payable by a person other than the specified person	1	10,000
393(3)	1	194B	Winnings from lottery or crossword puzzle, card games and other games of any sort (other than winnings from online games) (threshold limit is Rs. 10,000 per transaction)	30	10,000
393(3)	2	194BA	Winnings from online games	30	Zero
393(3)	3	194BB	Winnings from horse race (threshold limit is Rs. 10,000 per transaction)	30	10,000
393(3)	4	194G	Commission on sale of lottery tickets	2	20,000
393(3)	5	194N	Payment from one or more accounts to an account holder in cash by bank/co-operative bank/post office –	2	3 crore
			- If recipient is a co-operative society	2	1 crore
			- If recipient is a person other than a co-operative society		
393(3)	6	194EE	Payment in respect of deposits under the National Savings Scheme, 1987	10	2,500
393(3)	7	194T	Payment of remuneration/interest by a firm to its partner(s)	10	20,000

Category B - When recipient is a non-resident or a foreign company

New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
392	–	192	Tax deduction from salary, allowances or Perquisites	Slab Rate
392(7)	–	192A	Payment of taxable accumulated provident fund Balance	10



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
393(3)	1	194B	Winnings from lottery or crossword puzzle, card games and other games of any sort (other than winnings from online games) (threshold limit is Rs. 10,000 per transaction)	30
393(3)	2	194BA	Winnings from online games	30
393(3)	3	194BB	Winnings from horse race (threshold limit is Rs. 10,000 per transaction)	30
393(3)	4	194G	Commission on sale of lottery tickets	2
393(3)	5	194N	Payment from one or more accounts to an account holder in cash by bank/co-operative bank/post office – - If recipient is a co-operative society - If recipient is a person other than co-operative Society	2 2
393(3)	6	194EE	Payment in respect of deposits under the National Savings Scheme, 1987	10
393(3)	7	194T	Payment of remuneration/interest by a firm to its partner(s)	10
393(2)	1	194E	Payment to a non-resident foreign citizen sports man/entertainer or non-resident sports association	20
393(2)	2, 3 and 4	194LC	Payment/Credit edit of interest by an Indian specified company or business trust on – - Foreign currency approved loan/long-term bonds from outside India - Long-term bond/rupee denominated bond listed in recognised stock exchange located in any International Financial Services Centre - Long-term bond/rupee denominated bond	5 4 9



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
			issued on or after July 1, 2023, which is listed only on a recognised stock exchange located in an International Financial Services Centre	
393(2)	5	194LB	Payment/credit by way of interest by infrastructure debt fund	5
393(2)	6	194LBA(2)	Payment by business trust to unitholders of the nature referred to in Schedule V (Table Sl. No. 3) [corresponding to sec. 10(23FC) of the 1961 Act] – - Interest received from special purpose vehicle paid to a unitholder - Dividend received from special purpose vehicle paid to a unitholder	5 10
393(2)	7	194LBA(3)	Payment of nature referred to in Schedule V (Table Sl. No. 4) [corresponding to sec. 10(23FCA) of the 1961 Act] by a business trust to unitholders – - If recipient is a non-resident (other than a foreign company) - If recipient is a foreign company	30 35
393(2)	8	194LBB	Payment in respect of units of investment fund specified in section 224 (corresponding to sec. 115UB of the 1961 Act) - If recipient is a non-resident (other than a foreign company) - If recipient is a foreign company	30 35
393(2)	9	194LBC(2)	Payment in respect of an investment in a securitisation trust specified in section 221 (corresponding to sec. 115TCA of the 1961 Act) - If recipient is a non-resident (other than a foreign company) - If recipient is a foreign company	30 35
393(2)	10	196A	Income in respect of units of non-resident	20
393(2)	11 and 12	196B	Income in respect of units referred to in section 208 (corresponding to sec. 115AB of the 1961 Act)	10



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
			- Long-term capital gain on transfer of aforesaid units	12.5
393(2)	13 and 14	196C	Payment/credit of interest on foreign currency bonds or GDR	10
			- Long-term capital gains on transfer of the aforesaid bonds/GDR	12.5
393(2)	15	196D(1)	Payment/credit of income from securities (not being dividend, short-term or long-term capital gain) to Foreign Institutional Investors	20
393(2)	16	196D(1A)	Payment/credit of interest from securities to a specified fund	10
393(2)	17	195(1)	Payment/credit of other sum to a non-resident—	
			a. income of foreign exchange assets payable to an Indian citizen as referred to in section 214 (corresponding to sec. 115E of the 1961 Act)	20
			b. income by way of long-term capital gains on transfer of foreign exchange assets as referred to in section 214	12.5
			c. income by way of short-term capital gain under section 196 (corresponding to sec. 111A of the 1961 Act)	20
			d. income by way of long-term capital gains under section 197 (corresponding to sec. 112 of the 1961 Act)	12.5
			e. income by way of long-term capital gains under section 198 (corresponding to sec. 112A of the 1961 Act) (exceeding Rs. 1.25 lakh)	12.5
			f. income by way of dividend from a unit in the International Financial Services Centre	10
			g. income by way of dividend (other than above)	20
			h. income by way of interest payable by the Government/Indian concern on money borrowed or debt incurred by the Government or Indian concern in foreign currency	20
			i. royalty	20
			j. royalty [not being royalty of the nature referred to in (i) supra]	



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
			- where the agreement is made after March 31, 1961 but before April 1, 1976 (recipient is a non-resident other than a foreign company)	20
			- where the agreement is made after March 31, 1961 but before April 1, 1976 (recipient is a foreign company)	50
			- where the agreement is made on or after April 1, 1976	20
			k. fees for technical services [see Note 8] – - where the agreement is made after February 29, 1964 but before April 1, 1976 (recipient is a non-resident other than a foreign company)	20
			- where the agreement is made after February 29, 1964 but before April 1, 1976 (recipient is a foreign company)	50
			- where the agreement is made on or after April 1, 1976	20
			l. any other income – - If the recipient is a non-resident (other than a foreign company)	30
			- If the recipient is a foreign company	35

Surcharge and HEC to be deducted in addition to above

C) OTHER HIGHLIGHTS

1. Period of Income – Governing Act Reference



Period of Income	Governing Act	Reference Year
01 April 2025 – 31 March 2026	Income-tax Act, 1961	Assessment Year 2026–27
01 April 2026 – 31 March 2027	Income-tax Act, 2025	Tax Year 2026–27

2. Validity of Existing Approvals, Registrations, and Recognitions under the New Income-tax Act

Approvals, registrations, and recognitions granted under the earlier provisions shall continue to remain valid under the Income-tax Act, 2025, provided that such approvals are not inconsistent with the provisions of the new Act. In such cases, they shall be deemed to have been granted under the corresponding provisions of the new Act.

3. Continuation of Circulars, Instructions and Notifications under the Income-tax Act, 2025

In accordance with section 536(2)(j) of the Income-tax Act, 2025, circulars, instructions, notifications, approvals, and similar instruments issued under the Income-tax Act, 1961 shall continue to remain in force after the commencement of the new Act, to the extent that they are not inconsistent with the provisions of the Income-tax Act, 2025.

4. Validity of Lower/Nil Withholding Certificate under Section 197 after Transition to Income-tax Act, 2025

A lower deduction or nil deduction certificate issued under section 197 of the Income-tax Act, 1961 shall continue to remain valid for payments or credits made on or after 1st April, 2026, provided that such certificate pertains to lower or nil deduction in respect of the projected receivables for the tax year 2026–27.

5. Under which Act will the ITR for income earned during FY 2025–26 be filed?

The Income Tax Return (ITR) for income earned during the Financial Year 2025–26 shall be filed for Assessment Year 2026–27 under the provisions of the Income-tax Act, 1961.

Thanking You
Yours Faithfully
For Bansal & Co LLP
Chartered Accountants

Indra Bansal

Indra Bansal
Partner

15/04/2026



CIRCULAR

Subject: Income-Tax Act, 2025 read with Income-Tax Rules, 2026 - Key Changes

The Income Tax Act, 2025 and the corresponding Income Tax Rules, 2026 have been notified and have come into force with effect from 1 April 2026. These provisions will apply to tax years beginning on or after that date, replacing the Income Tax Act, 1961 and the Income Tax Rules, 1962.

In this regard, a detailed analysis of the key changes including changes in the nomenclature of sections as well as revisions in TDS and TCS rates has been prepared by our Direct Tax consultants, M/s Bansal & Co LLP. (copy placed at Annexure 'A').

This is for information to all Concerned Dy. F&As to ensure necessary compliance please.

All Dy.F&As

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Changes Introduced by Income Tax Act, 2025 & Income Tax Rules, 2026 (Effective from 1 April 2026)

In Relation to salary and TDS provisions.

A) Changes Relating to Salary provision

1. Mapping of Old Provisions vs New Sections/Rules

Subject	Old Provision / Rule	New Section / Rule	New Rule
Basis of Charge of Salary	Section 15	Section 15	—
Deductions from Salary	Section 16	Section 19	—
Standard Deduction (₹75,000)	Section 16(ia)	Section 19 (Table S. No. 2)	—
Deduction of Professional Tax	Section 16(iii)	Section 19 (Table S. No. 1)	—
Taxability / Valuation of Perquisites	Section 17(2)	Section 17	Rule 15
Exemption of House Rent Allowance (HRA)	Section 10(13A) [Rule 2A]	Schedule III, S. No. 11	Rule 279
Exemption of Leave Travel Concession (LTC)	Section 10(5) [Rule 2B]	Schedule III, S. No. 8	Rule 278
Exemption of Leave Encashment	Section 10(10AA)	Section 19 (S. No. 13 & 14)	—

BRANCHES

Maharashtra : 7&8 GF, Wing-A, Raghavji Building, 15/17, Raghavji Road, Gowalia Tank, Mumbai-400026, M: 9999 668270
Madhya Pradesh : 114, Shree Tower, 2nd Floor, Zone-II, Bhopal (MP) Ph. 0755-4076725, 2769224, 2769225, 9425398729
Chhattisgarh : 6/140 Next to Indra Setu Bridge, Tilaknagar, Chatapara, Bilaspur, Chhattisgarh, (Ch)-495001, M: 8097329585
Delhi : D-Block, 3rd Floor, Plot No 8, Balaji Estate, Guru Ravidas Marg, Kalkaji, New Delhi-110019, M 9810939245



Subject	Old Provision / Rule	New Section / Rule	New Rule
Exemption of Gratuity	Section 10(10)	Section 19 (S. No. 3-6)	—
Valuation of Perquisites	Rule 3 (1962 Rules)	Rule 15 (2026 Rules)	Rule 15
Annual Accretion to Recognised Provident Fund (RPF)	Rule 6 (1962 Rules)	Rule 16 (2026 Rules)	Rule 16
Valuation of Perquisite in Respect of Any Benefit	Rule 2BB	Rule 17	Rule 17
Exemption of Medical Benefits	Rule 3A	Rule 18	Rule 18
Voluntary Retirement Scheme (VRS) Procedure	Rule 2BA	Rule 20	Rule 20
Relief for Arrears or Advance Salary	Section 89 + Rule 21A	Section 157(1)	Rule 73
TDS on Salary	Section 192	Section 392	Rule 204
Form 16 (TDS Certificate)	Form 16 [Rule 31(1)(a)]	Form 130	Rule 215
Statement of Perquisites to Employee	Form 12BA	Form 123	Rule 204
Investment Declaration by Employee to Employer	Form 12BB	Form 124	Rule 205
Details of Other Income to Employer	Form 12B	Form 122	Rule 204
Quarterly TDS Return (Salary)	Form 24Q	Form 138	Rule 219

Old Provision	HEADING	New provision
80C	Deduction in respect of life insurance premia, deferred annuity, contributions to provident fund, subscription to certain equity shares or debentures, etc.	123 Sch. XV 2



80CCC	Deduction in respect of contribution to certain pension funds	123 Sch. XV
80CCD	Deduction in respect of contribution to pension scheme of Central Government	124 Sch. XV
80CCE	Limit on deductions under sections 80C, 80CCC and 80CCD	123
80CCH	Deduction in respect of contribution to Agnipath Scheme	125
80D	Deduction in respect of health insurance premia	126 2
80DD	Deduction in respect of maintenance including medical treatment of a dependant who is a person with disability	127
80ddb	Deduction in respect of medical treatment, etc.	128 2
80E	Deduction in respect of interest on loan taken for higher education	129
80EE	Deduction in respect of interest on loan taken for residential house property	130
80EEA	Deduction in respect of interest on loan taken for certain house property	131 2
80EEB	Deduction in respect of purchase of electric vehicle	132
80G	Deduction in respect of donations to certain funds, charitable institutions, etc.	133 332 354
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2. Revised Provisions Relating to Allowances

Particular	Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Changes
Children Education Allowance	₹100 per month per child (Max 2 Child)	₹3,000 per month per child (Max 2 Child)	Increased by ₹2900 per Child per month
Hostel Expenditure Allowance	₹300 per month per child(Max 2 Child)	₹9,000 per month per child(Max 2 Child)	Increased by ₹8700 per Child per month
Free Food and Non-Alcoholic beverages	₹50 per meal	₹200 per meal	Increased by ₹ 150 per Meal
Employer Gifts / Vouchers	₹5,000 per annum	₹15,000 per annum	Increased By ₹ 10,000
Transport System Allowance	Exempt up to 70% of allowance, capped at ₹10,000 per month.	Exempt up to 70% of allowance, capped at ₹25,000 per month.	Capping Limit increased by ₹ 15000 per month
Interest-Free Employer Loan Threshold	Exempt if the aggregate loan amount is ₹20,000	Exempt if the aggregate loan amount is ₹2,00,000	Limit Increased by ₹ 1,50,000
Free/Concessional Education for Employee's Children	Tax-free up to ₹1,000 per month per child	Tax-free up to ₹3,000 per month per child	Increased by ₹2,000 per month per child
Transport allowance granted to blind or deaf and dumb or orthopaedically handicapped	Tax-free up to ₹3,200 per month	Metro cities: ₹15,000 + DA per month Other cities: ₹8,000 + DA per month	Substantially increased and city-based differentiation introduced



Particular	Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Changes

3. Valuation of Motor Car Perquisite

If car owned by Employer and used by Employee for office and personal Purposes and expenses born by Employer	Income Tax Rule 1962 (Under Act, 1961) – Rule 3	Income Tax Rule 2026 Rule 15
Engine $\leq$ 1600 cc or Electric Vehicle	₹1,800/month	₹5,000/month
Engine > 1600 cc	₹2,400/month	₹7,000/month
Chauffeur Facility	₹900/month	₹3,000/month

If car owned by Employer and used by Employee for office and personal Purposes and expenses born by Employee	Income Tax Rule 1962 (Under Act, 1961) – Rule 3	Income Tax Rule 2026 Rule 15
Engine $\leq$ 1600 cc or Electric Vehicle	₹600/month	₹2,000/month
Engine > 1600 cc	₹900/month	₹3,000/month
Chauffeur Facility	₹900/month	₹3,000/month

If car owned by Employee and used by Employee for office and personal Purposes and expenses born by Employer	Income Tax Rule 1962 (Under Act, 1961) – Rule 3	Income Tax Rule 2026 Rule 15
Engine $\leq$ 1600 cc or Electric Vehicle	₹1,800/month	₹5,000/month
Engine > 1600 cc	₹2,400/month	₹7,000/month
Chauffeur Facility	₹900/month	₹3,000/month



4. House Rent Allowance Exemption

Particular	Income Tax Rule 1962 (Under Act, 1961) – Rule 2A	Income Tax Rule 2026 - Rule 279
Existing Metro Cities	50% of Salary	50% (No change)
Bengaluru, Pune, Hyderabad, Ahmedabad	40%	50% (increased by 10%)
Other Cities	40%	40%

5. Leave Travel Concession

Particular	Income Tax Rules, 1962	Income Tax Rules, 2026
Air travel valuation	Restricted to economy fare of National Carrier	Based on entitled class of travel
Reference system	National Carrier benchmark	Employee eligibility-based fare
Non-rail connectivity	AC first-class rail fare concept	Standard rate of ₹30/km

6. Changes in Forms

Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Instrument	Remarks
Form 16	Form 130	TDS Certificate for Salary and Pension	Introduced in three parts; includes additional annexure for specified senior citizens; reflects updated perquisite and allowance values; to be issued by 15 June following the Tax Year
Form 12BB	Form 124	Employee Exemption and	Mandatory disclosure of landlord PAN where annual rent exceeds ₹1,00,000; requirement to disclose



Income Tax Rule 1962 (Under Act, 1961)	Income Tax Rule 2026	Instrument	Remarks
		Deduction Declaration	relationship with landlord; Rent Agreement is Mandatory for HRA,

B) TDS / TCS Framework — Old vs New

1. Summarized Table

TDS / TCS Category	Old Act Provisions	New Act, 2025	Relevant Rule / Form
TDS on Salary	Section 192; Section 192A (EPF withdrawals)	Section 392 (consolidated provision)	Rule 219; Form 138 (earlier Form 24Q)
TDS on Non-Salary Payments — Residents	Multiple sections (e.g., 193, 194, 194A, 194C, 194H, 194I, 194J, 194Q, 194R, 194S, etc.)	Section 393(1) — unified provision with table-based classification	Rule 219; Form 140 (earlier Form 26Q)
TDS on Payments to Non-Residents	Sections 195, 196A, 196C, 196D, 194E, 194LB, 194LC, 194LD	Section 393(2) — comprehensive table for non-resident taxation	Rule 219; Form 144 (earlier Form 27Q)
TCS Provisions	Section 206C and its sub-sections [e.g., 206C(1), 206C(1F), 206C(1G), 206C(1H), etc.]	Section 394 — single consolidated provision with tabular structure	Rule 218; Form 143 (earlier Form 27EQ)



Section of 2023 Act		Section of 1961 Act	Rate of payment	TDS in % ²⁰	ld limit of Rs.
Section	Table SL No.				

TDS / TCS Category	Old Act Provisions	New Act, 2025	Relevant Rule / Form
Lower / Nil Deduction Certificate	Section 197 — applicable to specified sections only	Section 395(1) — scope expanded to cover all specified payments	Rule 213
Higher TDS/TCS for Non-Filers	Sections 206AB / 206CCA — applicable for non-filers of return	Abolished under the new Act	Not Applicable

2. Section 393 — Framework of TDS Provisions (Structured Summary of Five Tables)

Section 393 provides a comprehensive framework for tax deduction at source (TDS) through five distinct tables. These tables classify TDS provisions based on the nature of payment and the residential status of the recipient, thereby ensuring a systematic application of withholding tax provisions.

TDS Structure under Section 393

Table No.	Category of Payments	Scope / Applicability	Payment Nature
Table 1	Payments to Residents	Applies to payments made to resident persons	Covers specified payments such as: • Commission or brokerage • Rent • Transfer of certain immovable property (excluding agricultural land) • Income from capital market transactions • Interest income • Payments to contractors, professionals, and technical service providers • Dividend • Other prescribed payments
Table 2	Payments to non-residents	Applies to payments made to non-resident	Includes interest, dividends, capital gains, income from securities, units, bonds, business trusts, investment



Table No.	Category of Payments	Scope / Applicability	Payment Nature
		persons and foreign companies	funds, offshore funds, as well as payments to sportsmen, entertainers, and other sums chargeable under the Act. Rates of deduction: 4%, 5%, 6%, 10%, 12.5%, 20%, or such rates as prescribed ("rates in force"). DTAA relief may be claimed subject to furnishing a valid Tax Residency Certificate (TRC) and prescribed declarations.
Table 3	Payments to Any Person	Applies irrespective of residential status	Covers specified high-risk or regulated transactions, including winnings from lotteries, betting, gambling, horse races, online gaming; lottery commission; large cash withdrawals; specified cash payments; and payments to partners of firms.
Table 4	Cases where No TDS is Required	Statutory exclusions from TDS	Prescribes payments on which no tax is required to be deducted, including payments to Government, RBI, banks, insurers, notified institutions, and business trusts, as well as certain specified transactions subject to prescribed conditions.
Table 5	Declaration for Non-Deduction	Applies where a declaration of nil or lower estimated income is furnished by the recipient	Permits non-deduction of tax on specified incomes such as interest, rent, dividend, insurance commission, mutual fund income, and life insurance proceeds, subject to eligibility conditions, compliance requirements, and reporting obligations.

3. TCS Rate -Section 394(1)



Section 394(1) Table Sl.No	Nature of Receipt	New Rate	Old Section	Old Rate
1	Sale of alcoholic liquor for human consumption	2%	206C(1)	1%
2	Sale of tendu leaves	2%	206C(1)	5%
3	Sale of timber and other forest produce	2%	206C(1)	2%
4	Sale of scrap	2%	206C(1)	1%
5	Sale of minerals such as coal, lignite, and iron ore	2%	206C(1)	1%
6(a)	Sale of motor vehicle where consideration exceeds ₹10,00,000	1%	206C(1F)	1%
6(b)	Sale of specified luxury goods where consideration exceeds ₹10,00,000 (including wristwatches, antiques, paintings, sculptures, collectible items such as coins and stamps, yachts/rowing boats, sunglasses, handbags/purses, footwear, sportswear and equipment)	1%	206C(1F)	1%
7(a)	Remittance under Liberalised Remittance Scheme (LRS) for specified purposes such as travel, investments, etc., where aggregate amount exceeds ₹10,00,000	20%	206C(1G)(a)	20%
7(b)	Remittance under LRS for education or medical treatment where aggregate amount exceeds ₹10,00,000	2%	206C(1G)(a)	5%
7(c)	Remittance under LRS for education, where the amount is financed through a loan obtained from a financial institution	Nil	206C(1G)(a)	
8	Overseas tour programme package, including expenditure on travel, accommodation, boarding, or lodging	2%	206C(1G)(b)	5%/20%



Section 394(1) Table Sl.No	Nature of Receipt	New Rate	Old Section	Old Rate
9	Use of parking lot, toll plaza, or mining rights under lease or licence	2%	206C(1C)	2%

4. TDS Section Mapping

Category A - When recipient is a person resident in India

New Provision		Old Section	Nature of Payment / Income	Rate	Threshold Limit
392	—	192	Tax deduction from salary, allowances or perquisites		At Slab Rate
392(7)	—	192A	Payment of taxable accumulated provident fund balance	10	50,000
393(1)	1(i)	194D	Insurance commission - If recipient is a resident (other than a company) - If recipient is a domestic company	2 10	20,000 20,000
393(1)	1(ii)	194H	Commission or brokerage	2	20,000
393(1)	2(i)	194-IB	Payment/credit of rent by an individual/HUF (if his total sales, turnover or gross receipts does not exceed Rs. 1 crore in the case of business or Rs. 50 lakh in the case of profession in the preceding financial year)	2	50,000 p.m.
393(1)	2(ii)	194-I	Any income by way of rent - Rent of plant and machinery - Rent of land or building or furniture or fitting	2 10	50,000 p.m.
393(1)	3(i)	194-IA	Payment/credit of consideration to a resident transferor for transfer of any immovable property (other than rural agricultural land) (1 per cent of consideration or stamp duty value, whichever is higher)	1	More than 50,00,000
393(1)	3(ii)	194-IC	Payment of consideration (not being in kind)	10	Zero



			under a joint development agreement to a resident individual/HUF (who transfers land/building)		
393(1)	3(iii)	194LA	Payment of compensation/enhanced compensation for compulsory acquisition of immovable Property	10	5,00,000
393(1)	4(i)	194K	Any income in respect of units of a mutual fund/units from administrator of the specified undertaking/units from specified company	10	10,000
393(1)	4(ii)	194LBA(1)	Payment of the nature referred to in Schedule V	10	Zero
393(1)	4(iii)	194LBB	Payment in respect of units of investment fund specified in section 224 (corresponding to sec.115UB of the 1961 Act)	10	Zero
393(1)	4(iv)	194LBC(1)	Payment in respect of an investment in a securitisation trust specified in section 221(6) (d) [corresponding to Expln. (d) to sec. 115TCA] if recipient is an individual or HUF or any other person	10	Zero
393(1)	5(i)	193	Interest on securities	10	10,000
393(1)	5(ii)/(iii)	194A	Payment of interest (other than interest on securities)		
			- Paid/payable by a bank/co-operative bank/post office to a senior citizen	10	1,00,000
			- Paid/payable by a bank/co-operative bank/post office to a person other than a senior citizen	10	50,000
			- Paid/payable by any other person	10	10,000
393(1)	6(i)	194C	Payment to contractors		
			- Payment/credit to an individual or a Hindu undivided family	1	30,000/ 1,00,000
			- Payment/credit to any person other than an individual or a Hindu undivided family	2	30,000/ 1,00,000
393(1)	6(ii)	194M	Payment/credit to a resident contractor or resident professional or payment/credit by way of commission/brokerage	2	50,00,000



393(1)	6(iii)	194J	Fees for professional or technical services –		
			- Fees for professional services (if payee is engaged only in the business of operation of a call centre)	2	50,000
			- Fees for professional services (not covered above)	10	
			- Fees for technical services (not being a professional service)		50,000
			- Remuneration/fee/commission by a company to a director (when director is not an employee,	2	Zero
				10	
			- Royalty in the nature of consideration for sale, distribution or exhibition of cinematographic films	2	50,000
			- Royalty (not covered above)		
			- Any sum referred to in section 26(2)(h) [corresponding to sec. 28(va) of the 1961 Act]	10	50,000
				10	
393(1)	7	194	Dividends (including deemed dividend) (threshold limit: Rs. 10,000 if shareholder is an individual)	10	Nil
393(1)	8(i)	194DA	Amount of income comprised in payment in respect of life insurance policy	2	1,00,000
393(1)	8(ii)	194Q	Payment/credit (exceeding Rs. 50 lakh in the financial year) of a certain sum for the purchase of goods	0.1	50,00,000
393(1)	8(iv)	194R	Benefit or perquisite in respect of business/Profession	10	20,000
393(1)	8(v)	194-O	Payment of certain sums (i.e., sale of goods/provision of services) by e-commerce operator to e-commerce participants —		
			- If e-commerce participant is an individual/HUF	0.1	5,00,000
			- If e-commerce participant is a person other than an individual/HUF	0.1	Zero
393(1)	8(vi)	194S	Payment/credit of consideration for transfer of virtual digital asset—		



			- If consideration is paid/payable by a specified person	1	50,000
			- If consideration is paid/payable by a person other than the specified person	1	10,000
393(3)	1	194B	Winnings from lottery or crossword puzzle, card games and other games of any sort (other than winnings from online games) (threshold limit is Rs. 10,000 per transaction)	30	10,000
393(3)	2	194BA	Winnings from online games	30	Zero
393(3)	3	194BB	Winnings from horse race (threshold limit is Rs. 10,000 per transaction)	30	10,000
393(3)	4	194G	Commission on sale of lottery tickets	2	20,000
393(3)	5	194N	Payment from one or more accounts to an account holder in cash by bank/co-operative bank/post office – - If recipient is a co-operative society - If recipient is a person other than a co-operative society	2 2	3 crore 1 crore
393(3)	6	194EE	Payment in respect of deposits under the National Savings Scheme, 1987	10	2,500
393(3)	7	194T	Payment of remuneration/interest by a firm to its partner(s)	10	20,000

Category B - When recipient is a non-resident or a foreign company

New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
392	–	192	Tax deduction from salary, allowances or Perquisites	Slab Rate
392(7)	–	192A	Payment of taxable accumulated provident fund Balance	10



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
393(3)	1	194B	Winnings from lottery or crossword puzzle, card games and other games of any sort (other than winnings from online games) (threshold limit is Rs. 10,000 per transaction)	30
393(3)	2	194BA	Winnings from online games	30
393(3)	3	194BB	Winnings from horse race (threshold limit is Rs. 10,000 per transaction)	30
393(3)	4	194G	Commission on sale of lottery tickets	2
393(3)	5	194N	Payment from one or more accounts to an account holder in cash by bank/co-operative bank/post office – - If recipient is a co-operative society - If recipient is a person other than co-operative Society	2 2
393(3)	6	194EE	Payment in respect of deposits under the National Savings Scheme, 1987	10
393(3)	7	194T	Payment of remuneration/interest by a firm to its partner(s)	10
393(2)	1	194E	Payment to a non-resident foreign citizen sports man/entertainer or non-resident sports association	20
393(2)	2, 3 and 4	194LC	Payment/Credit edit of interest by an Indian specified company or business trust on – - Foreign currency approved loan/long-term bonds from outside India - Long-term bond/rupee denominated bond listed in recognised stock exchange located in any International Financial Services Centre - Long-term bond/rupee denominated bond	5 4 9



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
			issued on or after July 1, 2023, which is listed only on a recognised stock exchange located in an International Financial Services Centre	
393(2)	5	194LB	Payment/credit by way of interest by infrastructure debt fund	5
393(2)	6	194LBA(2)	Payment by business trust to unitholders of the nature referred to in Schedule V (Table Sl. No. 3) [corresponding to sec. 10(23FC) of the 1961 Act] – - Interest received from special purpose vehicle paid to a unitholder - Dividend received from special purpose vehicle paid to a unitholder	5 10
393(2)	7	194LBA(3)	Payment of nature referred to in Schedule V (Table Sl. No. 4) [corresponding to sec. 10(23FCA) of the 1961 Act] by a business trust to unitholders – - If recipient is a non-resident (other than a foreign company) - If recipient is a foreign company	30 35
393(2)	8	194LBB	Payment in respect of units of investment fund specified in section 224 (corresponding to sec. 115UB of the 1961 Act) - If recipient is a non-resident (other than a foreign company) - If recipient is a foreign company	30 35
393(2)	9	194LBC(2)	Payment in respect of an investment in a securitisation trust specified in section 221 (corresponding to sec. 115TCA of the 1961 Act) - If recipient is a non-resident (other than a foreign company) - If recipient is a foreign company	30 35
393(2)	10	196A	Income in respect of units of non-resident	20
393(2)	11 and 12	196B	Income in respect of units referred to in section 208 (corresponding to sec. 115AB of the 1961 Act)	10



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
			- Long-term capital gain on transfer of aforesaid units	12.5
393(2)	13 and 14	196C	Payment/credit of interest on foreign currency bonds or GDR	10
			- Long-term capital gains on transfer of the aforesaid bonds/GDR	12.5
393(2)	15	196D(1)	Payment/credit of income from securities (not being dividend, short-term or long-term capital gain) to Foreign Institutional Investors	20
393(2)	16	196D(1A)	Payment/credit of interest from securities to a specified fund	10
393(2)	17	195(1)	Payment/credit of other sum to a non-resident—	
			a. income of foreign exchange assets payable to an Indian citizen as referred to in section 214 (corresponding to sec. 115E of the 1961 Act)	20
			b. income by way of long-term capital gains on transfer of foreign exchange assets as referred to in section 214	12.5
			c. income by way of short-term capital gain under section 196 (corresponding to sec. 111A of the 1961 Act)	20
			d. income by way of long-term capital gains under section 197 (corresponding to sec. 112 of the 1961 Act)	12.5
			e. income by way of long-term capital gains under section 198 (corresponding to sec. 112A of the 1961 Act) (exceeding Rs. 1.25 lakh)	12.5
			f. income by way of dividend from a unit in the International Financial Services Centre	10
			g. income by way of dividend (other than above)	20
			h. income by way of interest payable by the Government/Indian concern on money borrowed or debt incurred by the Government or Indian concern in foreign currency	20
			i. royalty	20
			j. royalty [not being royalty of the nature referred to in (i) supra]	



New provision	S.No.	Section of 1961 Act	Nature of payment	Rate
			- where the agreement is made after March 31, 1961 but before April 1, 1976 (recipient is a non-resident other than a foreign company)	20
			- where the agreement is made after March 31, 1961 but before April 1, 1976 (recipient is a foreign company)	50
			- where the agreement is made on or after April 1, 1976	20
			k. fees for technical services [see Note 8] – - where the agreement is made after February 29, 1964 but before April 1, 1976 (recipient is a non-resident other than a foreign company)	20
			- where the agreement is made after February 29, 1964 but before April 1, 1976 (recipient is a foreign company)	50
			- where the agreement is made on or after April 1, 1976	20
			l. any other income – - If the recipient is a non-resident (other than a foreign company)	30
			- If the recipient is a foreign company	35

Surcharge and HEC to be deducted in addition to above

C) OTHER HIGHLIGHTS

1. Period of Income – Governing Act Reference



Period of Income	Governing Act	Reference Year
01 April 2025 – 31 March 2026	Income-tax Act, 1961	Assessment Year 2026–27
01 April 2026 – 31 March 2027	Income-tax Act, 2025	Tax Year 2026–27

2. Validity of Existing Approvals, Registrations, and Recognitions under the New Income-tax Act

Approvals, registrations, and recognitions granted under the earlier provisions shall continue to remain valid under the Income-tax Act, 2025, provided that such approvals are not inconsistent with the provisions of the new Act. In such cases, they shall be deemed to have been granted under the corresponding provisions of the new Act.

3. Continuation of Circulars, Instructions and Notifications under the Income-tax Act, 2025

In accordance with section 536(2)(j) of the Income-tax Act, 2025, circulars, instructions, notifications, approvals, and similar instruments issued under the Income-tax Act, 1961 shall continue to remain in force after the commencement of the new Act, to the extent that they are not inconsistent with the provisions of the Income-tax Act, 2025.

4. Validity of Lower/Nil Withholding Certificate under Section 197 after Transition to Income-tax Act, 2025

A lower deduction or nil deduction certificate issued under section 197 of the Income-tax Act, 1961 shall continue to remain valid for payments or credits made on or after 1st April, 2026, provided that such certificate pertains to lower or nil deduction in respect of the projected receivables for the tax year 2026–27.

5. Under which Act will the ITR for income earned during FY 2025–26 be filed?

The Income Tax Return (ITR) for income earned during the Financial Year 2025–26 shall be filed for Assessment Year 2026–27 under the provisions of the Income-tax Act, 1961.

Thanking You
Yours Faithfully
For Bansal & Co LLP
Chartered Accountants

Indra Bansal

Indra Bansal
Partner

15/04/2026



CIRCULAR

Subject: Income-Tax Act, 2025 read with Income-Tax Rules, 2026 - Key Changes

The Income Tax Act, 2025 and the corresponding Income Tax Rules, 2026 have been notified and have come into force with effect from 1 April 2026. These provisions will apply to tax years beginning on or after that date, replacing the Income Tax Act, 1961 and the Income Tax Rules, 1962.

In this regard, a detailed analysis of the key changes including changes in the nomenclature of sections as well as revisions in TDS and TCS rates has been prepared by our Direct Tax consultants, M/s Bansal & Co LLP. (copy placed at Annexure 'A').

This is for information to all Concerned Dy. F&As to ensure necessary compliance please.


JGM/Fin/Tax

All Dy.F&As

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Changes Introduced by Income Tax Act, 2025 & Income Tax Rules, 2026 (Effective from 1 April 2026)

In Relation to salary and TDS provisions.

A) Changes Relating to Salary provision

1. Mapping of Old Provisions vs New Sections/Rules

Subject	Old Provision / Rule	New Section / Rule	New Rule
Basis of Charge of Salary	Section 15	Section 15	—
Deductions from Salary	Section 16	Section 19	—
Standard Deduction (₹75,000)	Section 16(ia)	Section 19 (Table S. No. 2)	—
Deduction of Professional Tax	Section 16(iii)	Section 19 (Table S. No. 1)	—
Taxability / Valuation of Perquisites	Section 17(2)	Section 17	Rule 15
Exemption of House Rent Allowance (HRA)	Section 10(13A) [Rule 2A]	Schedule III, S. No. 11	Rule 279
Exemption of Leave Travel Concession (LTC)	Section 10(5) [Rule 2B]	Schedule III, S. No. 8	Rule 278
Exemption of Leave Encashment	Section 10(10AA)	Section 19 (S. No. 13 & 14)	—



BRANCHES

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Madhya Pradesh : 114, Shree Tower, 2nd Floor, Zone-II, Bhopal (MP) Ph. 0755-4076725, 2769224, 2769225, 9425398729
Chhattisgarh : 6/140 Next to Indra Setu Bridge, Tilaknagar, Chatapara, Bilaspur, Chhattisgarh, (Ch)-495001, M: 8097329585
Delhi : D-Block, 3rd Floor, Plot No 8, Balaji Estate, Guru Ravidas Marg, Kalkaji, New Delhi-110019, M 9810939245

Subject	Old Provision / Rule	New Section / Rule	New Rule
Exemption of Gratuity	Section 10(10)	Section 19 (S. No. 3-6)	—
Valuation of Perquisites	Rule 3 (1962 Rules)	Rule 15 (2026 Rules)	Rule 15
Annual Accretion to Recognised Provident Fund (RPF)	Rule 6 (1962 Rules)	Rule 16 (2026 Rules)	Rule 16
Valuation of Perquisite in Respect of Any Benefit	Rule 2BB	Rule 17	Rule 17
Exemption of Medical Benefits	Rule 3A	Rule 18	Rule 18
Voluntary Retirement Scheme (VRS) Procedure	Rule 2BA	Rule 20	Rule 20
Relief for Arrears or Advance Salary	Section 89 + Rule 21A	Section 157(1)	Rule 73
TDS on Salary	Section 192	Section 392	Rule 204
Form 16 (TDS Certificate)	Form 16 [Rule 31(1)(a)]	Form 130	Rule 215
Statement of Perquisites to Employee	Form 12BA	Form 123	Rule 204
Investment Declaration by Employee to Employer	Form 12BB	Form 124	Rule 205
Details of Other Income to Employer	Form 12B	Form 122	Rule 204
Quarterly TDS Return (Salary)	Form 24Q	Form 138	Rule 219

Old Provision	HEADING	New provision
80C	Deduction in respect of life insurance premia, deferred annuity, contributions to provident fund, subscription to certain equity shares or debentures, etc.	123 Sch. XV 2



DMRC MCH KPI-6 Entry-wise Inspection Report

Inspection No: **INSP-20260608083516-3-1**
Station: **Kashmere Gate** | Contract: **MCH-DEMO-001**
Inspector: **System Admin** | Type: **SM_INSPECTION** | Status: **UNDER_LINE_MANAGER_REVIEW**
Date: **2026-06-08** | Header GPS: 28.667913987845637, 77.22803627514435 | Score: **90.0%**

Entry	Attribute	Sub-area	Grade	Score	Photo/Video	Captured	Remarks
ENT-0001	Passenger/customer movement	Kerb stones	B	90.0%	P:1 V:0	08-06-2026 14:05 GPS 28.667913987845637, 77.22803627514435	

Evidence files uploaded: **1**
Evidence files attached/uploaded: **1**
Photo evidence available for preview: **1**
Video evidence available as link(s): **0**

Photo Evidence Preview



Kerb stones

DANGEROUS GOODS POLICY

Are your bags safe to take-off?

Permitted in cabin baggage

Portable electronic devices and spare batteries must be carried in the cabin.



Power banks



Spare batteries*



Portable electronic devices

- Passengers can carry a maximum of 2 lithium-ion batteries with a watt-hour rating of 100 Wh.
- Carry power banks and spare batteries only in hand baggage.
- Do not use or charge power banks onboard.
- Do not place power banks or spare batteries in overhead bins.
- If any device shows signs of heat, smoke, or an unusual smell, inform the cabin crew immediately.
- To prevent short-circuiting, store lithium batteries in plastic bags/cases and tape/cover terminals.

Restricted and Prohibited Items

If you're carrying any dangerous goods or restricted items, please declare them. Carrying undeclared restricted items may be an offence



Explosives & Fireworks



All Gases



Flammable Liquids



Flammable Solids



Oxidizer



Organic Peroxides



Toxic Substances



Infectious Substance & Biohazardous



Radioactive Materials



Corrosive chemicals, Household Cleaners



Miscellaneous dangerous goods



Magnetized Materials



Lithium Battery (over 100Wh)



Small lithium battery operated vehicles



Disabling devices (Mace, pepper spray & tasers)



E-cigarette



Lighter & Matches



Copra



Sharp objects



Weapons



Agree & Continue